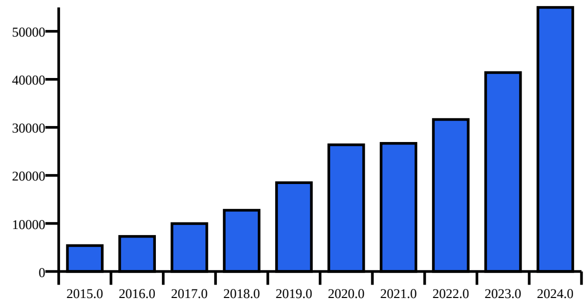
Bajaj Finance Ltd

BAJFINANCE | Financials

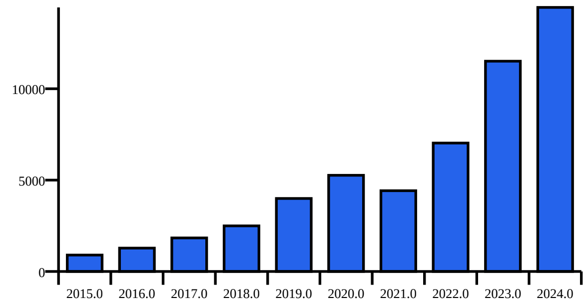
Revenue	Net Profit	ROE
54,972	14,451	N/A
ROCE	**Debt / Equity**	**CFO Quality**
N/A	N/A	-3.76

10-Year Financial Performance

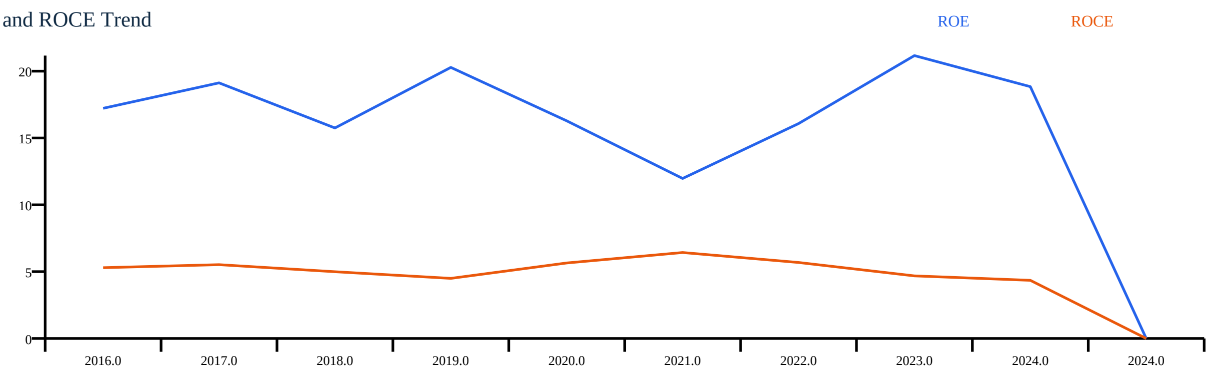
Revenue



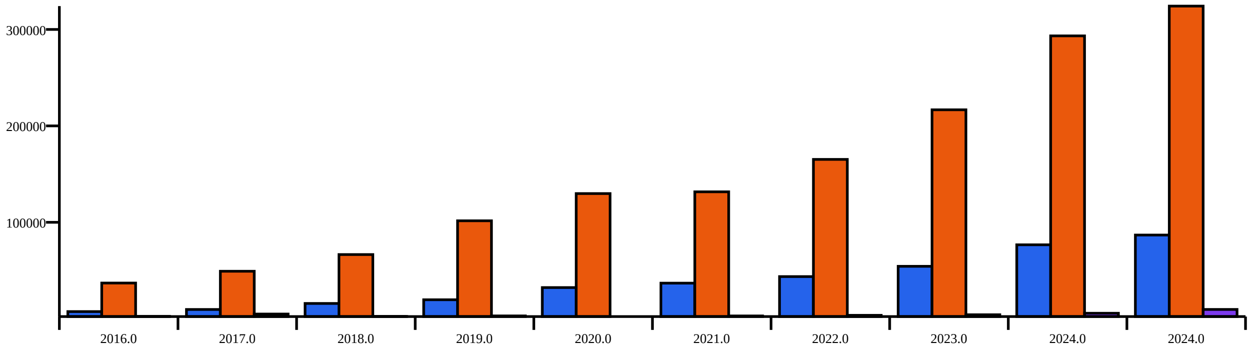
Net Profit



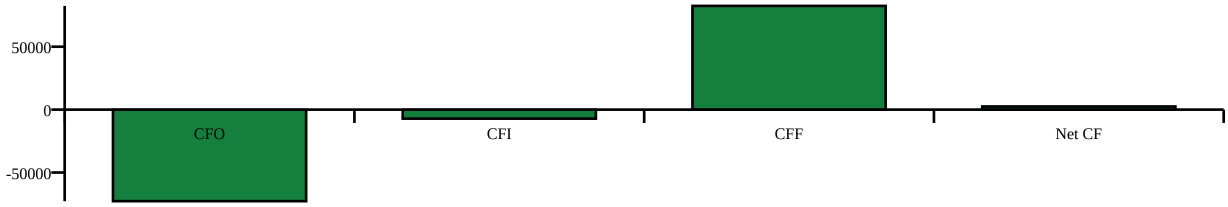
ROE and ROCE Trend



Balance Sheet Composition



Latest Year Cash Flow



Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation

Growth Funded by Debt